EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Local Government Unit of Santa Ana was created by virtue of Executive Order No. 289, signed by President Elpidio Quirino on October 21, 1949, which took effect on January 1, 1950.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Santa Ana for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Santa Ana, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	952,354,287.24	811,704,840.98	140,649,446.26
Liabilities	320,780,153.36	206,187,234.93	114,592,918.43
Government Equity	631,574,133.88	605,517,606.05	26,056,527.83
Financial Performance			
Income	295,272,894.28	271,422,911.75	23,849,982.53
Expense	280,688,253.12	246,971,882.81	33,716,370.31
Net Income	14,584,641.16	24,451,028.94	(9,866,387.78)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Road Concreting of Domingo St. at Brgy. Centro	P 5,715,412.56
Road Concreting of Gomez St. at Brgy. Centro	3,338,237.90
Construction of MDRRMO Building Extension (Phase-I)	2,495,000.00
Road Concreting of Semana St. at Brgy. Marede	1,999,000.00
Road Improvement of Aguinaldo Street at Brgy. Centro	1,783,000.00
Repair and Maintenance of CR at Municipal Gymnasium	1,563,000.00
Construction of Municipal Stockroom (Phase-II)	1,399,807.23
Concreting of Farm to Market Road at Brgy. Casagan	1,249,000.00
Total	**P 19,542,457.69**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Santa Ana, Cagayan for the year-ended December 31, 2024 due to: (1) non-submission of the Report on Physical Count of Property, Plant and Equipment and non-completion of the one-time cleansing procedures in the physical inventory of its Property, Plant and Equipment account with a reported balance of P456,401,363.87; and (2) non-maintenance of complete subsidiary ledgers of the individual taxpayers of the Real Property Tax and Special Education Tax Receivables amounting to P62,091,746.22 and P61,837,617.14, respectively.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Unexpended LDRRM Fund totaling P7,682,455.23, recorded in the Trust Liability-DRRMF, was not incorporated in the Local Disaster Risk Reduction Management Investment Plan for CY 2024, hence affecting the regularity of the expenditures.

   We recommended that the Management prepare a revised Annual Investment Plan incorporating the utilization of the prior years' unexpended LDRRMF and specifying the list of PPAs to be charged against the fund prior to the utilization of the same in compliance with COA Circular No. 2012-002 and NDRRMC-DILG-DBM Joint Memorandum Circular No. 2013-01 to avoid suspensions or disallowances in audit.

2. Various transactions of the Municipality totaling to P15,029,505.26 were erroneously charged to "Other Maintenance and Operating Expenses" account, thus, resulting in the overstatement of the "Other Maintenance and Operating Expenses" account and understatement of the various nominal and permanent accounts in the financial statements.

We recommended that the Local Chief Executive:

a. Instruct the Municipal Accountant to draw the necessary journal entries to correct the balances of the "Other Maintenance and Operating Expenses" account and the affected permanent accounts; and

b. Advise the Municipal Accountant to ensure that all transactions are recorded in the correct accounts in the general ledger in compliance with COA Circular No. 2015-009 dated December 1, 2015.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	P19,162,364.76	-	P3,436,140.48	P15,726,224.28	17.93%
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**P19,162,364.76**	**-**	**P3,436,140.48**	**P15,726,224.28**	**17.93%**

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eleven (11) audit recommendations in the CY 2023 Annual Audit Report, eight (8) were implemented and three (3) were partially implemented.